

Legislative Compliance Framework

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1 Scope and purpose

The Departments must conduct its business and activities in a lawful and responsible way to protect its staff and reputation and comply with the legislation under which it operates. It does this by promoting a strong compliance culture, and ensuring obligations are met so the Departments can demonstrate their corporate and social responsibilities.

The Audit Office of New South Wales has identified one of the key components of corporate governance to be compliance management which requires procedures to be in place that ensure an agency complies with all relevant laws and government directions.

In line with this, the Legislative Compliance Framework has been developed. The Framework outlines how the Departments seek to address its obligation to ensure legislative compliance.

2 Definitions

Departments means The Cabinet Office (TCO) and the Premier's Department (PD).

Staff means all staff (ongoing, temporary and casual, and those on secondment to the departments); contractors (including employees, agents or subcontractors engaged by a contractor) and agency staff engaged to perform work for, or provide services on behalf of the departments; work experience students; and volunteers and consultants where their engagement requires adherence to the Code of Conduct.

3 Roles and responsibilities

As a member of staff, you are responsible for:

Secretaries

- approves the legislative compliance framework
- reviews the annual compliance report and approves its issue to the Audit and Risk Committee

Audit and Risk Committee

- provides independent assistance to the Secretary about the adequacy of the framework
- reviews the annual compliance report and independently monitors action taken in response to the report, to ensure that remedial action has been taken or is proposed on any non-compliance issues

Governance team

- coordinates completion of the Legislative Compliance Register by TCO and PD Groups (see section 6)
- reports annually to the Secretary and the Audit and Risk Committee on legislative compliance

Directors/Executive Directors

- ensure compliance with applicable legislation
- ensure employees are aware of their obligations in adhering to legislative requirements
- advise the Governance team of any new legislation relation to the operations or activities of their Group respond to any request for information from the Governance team on compliance with legislation

Staff

- adhere to the Departments policies, procedures, internal control systems and legal requirements
- report compliance concerns, issues and failures as outlined in the Code of Conduct

GovConnect

- has internal controls in place to ensure compliance with legislation that impacts on the services delivered to the Departments
- issues attestation reports annually to the Departments confirming support of its policies and procedures to ensure compliance with legal and other requirements to promote best practice

4 Risk Management

The Departments recognise that there is potential for risk in many aspects of its operations. It is important to consider not only adverse consequences but also consider the potential opportunities or benefits that can be achieved by risk management. Effective management of risk is integral to good management and business practice.

Risk management is a critical component of governance arrangements in the Departments and must be integrated into governance, planning (including business planning, business continuity and project planning) and reporting framework.

Inadequate risk management can lead to:

- The Departments inability to achieve its objectives
- Financial loss
- Poor decision making and lack of quality outcomes
- Staff health and safety issues
- Opportunities not realised

The Legislative Compliance Framework should be read in conjunction with the Risk Management Policy.

5 Legislative Compliance Framework

The Framework consists of:

- identifying significant legislation and the key sections of each piece of legislation to which the Departments are to comply
- identifying the systems and controls in place to manage the risks of non-compliance
- management responsibilities
- showing for each piece of the legislation the compliance assurance initiatives, including TCO/PD policies, procedures and internal control systems, assurances from the identified responsible officers, confirmation from external and internal audits, and GovConnect assurances under the Service Partnership Agreement (SPA)
- assessing the level of compliance with all key legislative requirements
- reporting annually to the Secretary and the Audit and Risk Committee on compliance with legislation.

6 Methodology

The Legislative Compliance Register) is the main document for demonstrating compliance. The Legislative Compliance Register provides a means for each Group to assess compliance with applicable legal requirements.

The Legislative Compliance Register is available here

The Governance team maintains the Register. It shows the steps taken for ensuring compliance with each piece of legislation and consists of:

- the name of each piece of significant legislation
- key sections of the legislation with which compliance is required
- compliance assessment
- actions taken to comply and comments
- assessment of the residual risk of non-compliance.

7 Independent Assurance

The Governance team provides compliance assurance by using the self-assessment in the Legislative Compliance Register to assess each Group's compliance.

The Governance team will note whether the Departments comply with significant legislation confirmed by each Group and report the results to the Secretary and Audit and Risk Committee annually.

8 Contacts

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